Breathing Room: Unit economics, costs and the demo plan

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Bottom line

Gas is not the cost problem: it's about £0.001 per user per month. The real costs are the bank rails, about £3.60 per user per month, and the profit comes from creditors, not debtors. UK debt charities are already funded this way: creditors donate a share of every repayment they receive (StepChange averages 10.7%). Charging people in debt a subscription is the wrong model.

At a 5% creditor share on a typical £165/month plan, each active plan makes about £8.25/month and costs about £3.60 in rails, leaving roughly **£4.65/month (£56/year) per plan** before team and compliance costs. StepChange alone has about 185,000 people on plans, so 10,000 plans (£557k/year margin) is a credible early target.

Two caveats change the numbers: TrueLayer and Chainlink don't publish prices (sales quotes needed), and holding the money in USDC adds about 0.7% in currency-conversion fees every month. A pound stablecoin, or keeping pounds off-chain and using Monad only for the rules and receipts, removes most of that.

Costs per user per month

Assumptions: one payday a month, a £165 surplus collected (StepChange clients repaid £367m in 2024 across about 185,000 plans, roughly £165 per plan per month), and three creditors paid.

Cost	Price	Per user per month	Source
Collecting the surplus (GoCardless Direct Debit)	1% + 20p, capped at £4	£1.85	WorldFirst

Cost	Price	Per user per month	Source
Pounds to USDC and back (on-ramp + off-ramp)	about 0.35% each way	£1.16	Upshift; on-ramp side estimated to match the off-ramp
Paying 3 creditors (Revolut transfers)	20p each beyond the plan's allowance	£0.60	Airwallex on Revolut fees
Gas on Monad (top-up + payout split)	100 MON-gwei minimum base fee, MON at about £0.016	about £0.001	Monad docs, CoinGecko
Reading the bank (TrueLayer Data)	Not published	Sales quote needed	
Chainlink CRE on their network	Commercial terms	Sales quote needed	Chainlink's email to us, 7 Oct
AI-drafted letters (KIMI)	Pay per use	Pennies per letter (estimate)	
Total known		**about £3.61 (2.2% of the payment)**	

Gas, worked out. Our measured payout split used 220,000 gas. Monad charges the full gas limit, so budget 500,000 gas at 100 MON-gwei: 0.05 MON, about £0.0008. The pot top-up adds about £0.0002. Even if fees rose a hundredfold it would be £0.10.

The expensive part is the USDC detour. Converting pounds to dollars and back costs about £1.16 a month per user, a third of all costs. Two ways to cut it: a pound stablecoin when one launches on Monad, or keep the pounds in a regulated account and use Monad only for the plan, the split and the receipts.

Who pays: four models

The market: 8.1 million UK adults need debt advice (MaPS), and StepChange alone had 184,564 people on managed plans at the end of 2024 (StepChange).

Model	Who pays	Revenue per plan per month	Verdict
Creditor Fair Share	Creditors donate a % of each repayment they receive. StepChange averages 10.7%, asks 13% (StepChange)	£8.25 at 5%, £17.66 at 10.7%	**Lead model.** Proven in the UK; creditors pay because they get paid more reliably and skip collection costs
White-label for NDL / charities	The advice charity licenses the app for its own clients (assumed £2–£4 per active plan, rails passed through)	£2–£4 + rails	**Strong second.** They keep the client relationship; we run the tech. Fits MaPS-funded services
Councils	Councils pay a % of arrears recovered without bailiffs (assumed 5–10%)	Depends on arrears	**Pilot candidate.** Councils lose goodwill and money to enforcement; bailiff fees of £75 + £235 land on the debtor (Taking Control of Goods (Fees) Regulations 2014)
Direct-to-consumer subscription	The person in debt pays monthly	£3–£5 (assumed)	**Avoid as the core.** Free services exist, fee-charging debt firms draw FCA scrutiny, and it takes money from people who have none. Fine as a free app that feeds the other models

The direct-to-consumer app is still how you build clientele: free for users, with creditors and partners paying. The appeal-letter tool is the free front door that brings people in.

At scale

Creditor Fair Share at 5% of a £165 monthly plan, costs of £3.61 per plan (section 2). Yearly figures, before team, compliance and partner minimums.

Active plans	Revenue / year	Rails costs / year	Margin / year	Margin if creditors pay StepChange's 10.7%
1,000	£99,000	£43,320	£55,680	£168,600
10,000	£990,000	£433,200	£556,800	£1.69m
100,000	£9.9m	£4.33m	£5.57m	£16.9m

What moves the numbers most:

- **Dropping the USDC detour** cuts costs from £3.61 to £2.45 per plan, lifting margin at 10,000 plans from £557k to £696k a year.
- **Volume pricing** on Direct Debit and transfers usually falls at these volumes; the table uses list prices.
- **The Fair Share rate** creditors agree to is the biggest lever. 5% undercuts StepChange to win creditors; the case to creditors is that automatic, on-time payments beat chasing.

For investors: 100,000 plans is about half of StepChange's current book, in a market of 8.1 million people needing advice. The margin per plan is thin but recurring and grows with volume, the classic payments business shape.

The demo: receipts, not theory

The answer to "is this just theory?" is to show a receipt from a real service at every step. Every provider below is the real production API in its sandbox mode; going live means swapping test keys for live keys, not rebuilding. Record it as one continuous screen capture with the receipts side by side.

Step	What the judge sees	The receipt
1. Budget	"Fill from my bank" fills the SFS from 3 months of transactions	TrueLayer bank-connection screen
2. Approve	User approves the Direct Debit once	GoCardless sandbox dashboard: mandate created
3. Payday	"Check for payday now" spots the salary and collects only the surplus	GoCardless payment ID (PM…) marked paid

Step	What the judge sees	The receipt
4. Into the pot	Money lands in the user's pot	MonadScan transaction, public and permanent
5. Chainlink	Within 2 minutes the workflow fires on its own, no click	Server log of the Chainlink workflow + its MonadScan transaction
6. Fair split	Pot pays priority debts, then each creditor's share	MonadScan: one "creditor paid" record each
7. Creditor paid	Each share goes out as a pound bank transfer with the PCN reference	Revolut sandbox dashboard: transfer with reference

Say the one simulated step out loud: "Pounds become tokens here; in production a regulated on-ramp does this." Judges trust a team that names its gap.

To make this work before the deadline:

- [ ] Revolut connected (waiting on the Client ID)
- [ ] Pound-token pot, so every amount on screen is real pounds
- [ ] One full rehearsal run, checking every receipt link opens
- [ ] Record the video, with a backup take

Old pitch vs corrected pitch

The old pitch came from the 28 Sep research (SWOT and the Pitch & Demo Script doc). Its core story still stands; four claims need fixing before a sharp judge finds them.

Topic	Old claim	Corrected claim
Custody	"Zero custody: we never hold the user's money, sidestepping FCA rules"	"The plan, split and receipts live in a pot the user owns. The bank connections at each end run through FCA-regulated partners."

Topic	Old claim	Corrected claim
Automation	"Chainlink triggers the payout the instant a deposit lands"	"Chainlink's CRE workflow checks every 2 minutes and pays out automatically. It runs in Chainlink's simulator with live broadcast, as Chainlink recommends for hackathons."
Money	Implied real pounds on-chain	"The pot holds pound tokens, 1 for 1. In production that's a regulated stablecoin; USDC is live on Monad today."
Business model	Not covered	"Free for people in debt. Creditors fund it with a share of repayments, the same model that funds StepChange. About £4.65 margin per plan per month at 5%."

The one-line pitch: "Breathing Room turns a debt plan into autopilot: we read your bank, protect your rent and food, and pay every creditor their fair share on payday, with a public receipt for every penny. It's free for you; creditors pay because they finally get paid on time."

Sources

- Monad docs: gas pricing
- CoinGecko: MON to GBP
- WorldFirst: GoCardless fees 2026
- Airwallex: Revolut Business fees
- Upshift: stablecoin payout APIs compared
- StepChange: response to HM Treasury SDRP consultation (Fair Share 10.7%)
- StepChange: 2024 personal debt statistics
- MaPS: 8 million people need debt advice
- Taking Control of Goods (Fees) Regulations 2014